

CANVAS OVERVIEW

Before we go over the specifics of every element of the Lazy Financial Canvas, let us first take a look at what each element stands for and the objective of each of the blocks in the canvas.

BALANCE SHEET



A balance sheet in common language means a list of all that we own and all that we owe. So, in a balance sheet, we create a list of assets that we own and a list of liabilities that we have to repay. This gives a clear picture of how much we have left as of today after paying all the liabilities. Therefore, first and foremost, we will commit ourselves to create a personal balance sheet.

NET WORTH

Net Worth is a part of the balance sheet that defines the net difference between our assets and liabilities. It means how much we are likely to have left if we repay all our liabilities today. It is our true worth as of today.



INCOME STATEMENT



An income statement is a list that comprises all the different sources that serve as your income and different avenues for expenditure. The difference between income and expenses is a surplus or deficit that is your savings or drawings. We will see how to create a personal income statement in great detail going forward.